MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU BBA (HONOURS)

FIRST SEMESTER EXAMINATION (2024 ADMISSION ONWARDS)

FINANCIAL ACCOUNTING– MG1CCRBBA101

Part A

Answer any 5 Questions carrying 2 marks each.

1	Define equity.	[CO1, K]
2	How do accounting standards improve transparency?	[CO1, U]
3	What does a rights issue refer to?	[CO2, K]
4	What is the difference between ordinary shares and preference shares?	[CO2, U]
5	What is retained earnings, and how is it represented on the balance sheet?	[CO2, U]
6	Define journal in accounting, and what is its purpose?	[CO3, K]
7	Explain the significance of closing ledger accounts.	[CO3, U]
8	Define a Profit and Loss Account. What information does it provide to the stakeholders of a sole trader's business?	[CO5, U]

Part B

Answer any Four questions out of 6 carrying 5 marks

9	Explain how the accounting equation (Assets = Liabilities + Equity) is demonstrated through a simple example of a business transaction, and describe the impact of this transaction on the equation."	[CO1, U]
10	What are the main components of a profit and loss account of a company?	[CO2, U]
11	How does share capital impact the ownership structure of a company?	[CO2, U]
12	Discuss the advantages of maintaining subsidiary books in a large business?"	[CO3, CO4 U]
13	**"Given the following trial balance of Rupaa Enterprises as of March 31, 2024, rearrange the entries in the proper order, separating the debit and credit balances. Ensure that the total debits equal total credits. The amounts are in Indian Rupees (INR).** **Account Title — Amount(INR)** Cash — 50,000 Accounts Receivable — 30,000 Accounts Payable — 20,000 Capital — 80,000 Sales — 100,000 Purchases — 40,000 Rent Expense — 10,000 Salaries Payable — 15,000 Inventory — 25,000 Machinery — 60,000	[CO3, CO4 A]
14	Discuss the importance of final accounts for a sole trader. How do these accounts assist in decision-making and business planning?	[CO5, U]

Part C

Answer any two questions. Each Question carries 20 Marks

15 What are the key components of GAAP, and how do they guide financial reporting practices? [CO1, U]

You are provided with the following transactions for a small business for the month of March 2024. Your tasks are to record these transactions in the journal, post them to the ledger accounts, and prepare a trial balance at the end of the month. [CO3, CO4, A]

1.1.2024 Business Started with Rs.2,50,000
3.1.2024 Purchased machinery on credit from Raj – 50,000
6.1.2024 Bought furniture from Ramesh for cash – 25,000
12.1.2024 Goods sold to Jasmine – 22,500 13.1.2000 Goods returned by Jasmine – 2,500
15.1.2024Goods sold for cash – 50,000
17.1.2024 Bought goods for cash – 25,000
20.1.2024 Cash received from Jasmine – 10,000
21.1.2024 Cash paid to Raj – 20,000
29.1.2024 Paid advertisement expenses – 12,500
30.1.2024 Bought office stationery for cash – 5,000
31.1.2024 Paid salaries – 15,000
31.1.2024 Paid rent – 2,500

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17 Prepare the cashbook for November 2024, showing cash and bank columns. [CO3, CO4, A]

Calculate the closing cash and bank balances.

November 1: Opening cash balance - ₹3,000

November 3: Cash sales - ₹2,500

November 7: Bank deposit of cash sales - ₹1,500

November 10: Purchase of inventory (paid by cheque) - ₹1,800

November 15: Received payment from a customer by bank transfer - ₹1,200

November 20: Payment of salaries (cash) - ₹1,000

November 25: Rent payment (paid by cheque) - ₹900

18 [CO5, A]

Particulars	**Dr.**	**Cr.**
Plant and Machinery	100,000	
Opening stock	60,000	
Purchases	160,000	
Building	170,000	
Carriage inward	3,400	
Carriage outward	5,000	
Wages	32,000	
Sundry debtors	100,000	
Salaries	24,000	
Furniture	36,000	
Trade expense	12,000	

Discount on sales	1,900	
Advertisement	5,000	
Bad debts	1,800	
Drawings	10,000	
Bills receivable	50,000	
Insurance	4,400	
Bank balances	20,000	
Sales		480,000
Interest received		2,000
Sundry creditors		40,000
Bank loan		100,000
Discount on purchases		2,000
Capital		171,500
	795,500	795,500

The closing stock is valued at INR 90,000. Prepare the trading and profit and loss account of the business for the year ended 31.12.2009 and a balance sheet as at that date.